

Medicare ACO Spending Patterns: Replication and Extension

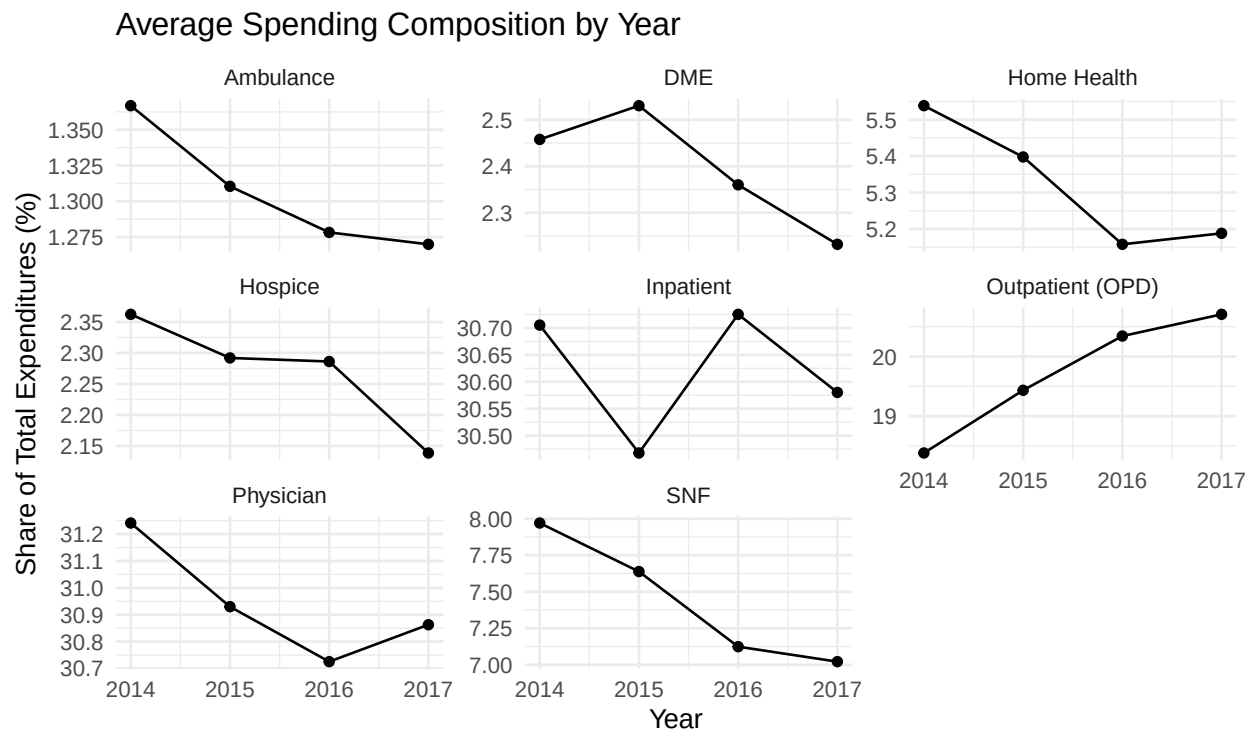
Executive Summary

Question: Do ACOs that achieve shared savings reallocate spending away from inpatient and post-acute institutional care toward physician/outpatient services?

Answer: Largely yes. In 2014–2017 MSSP data, higher inpatient and SNF shares are associated with lower savings rates in both the full and reduced fixed-effects models; physician share is small, positive and not significant. In the fixed-effects logit, only the inpatient share significantly predicts whether an ACO saves. The direction of effects mirrors the published study.

Data: Medicare Shared Savings Program (MSSP) PUFs, 2014–2017. Unit = ACO-year.

Methods: Fixed-effects (ACO & year) linear model of savings rate and fixed-effects logit for achieving savings; ACO-clustered SEs.



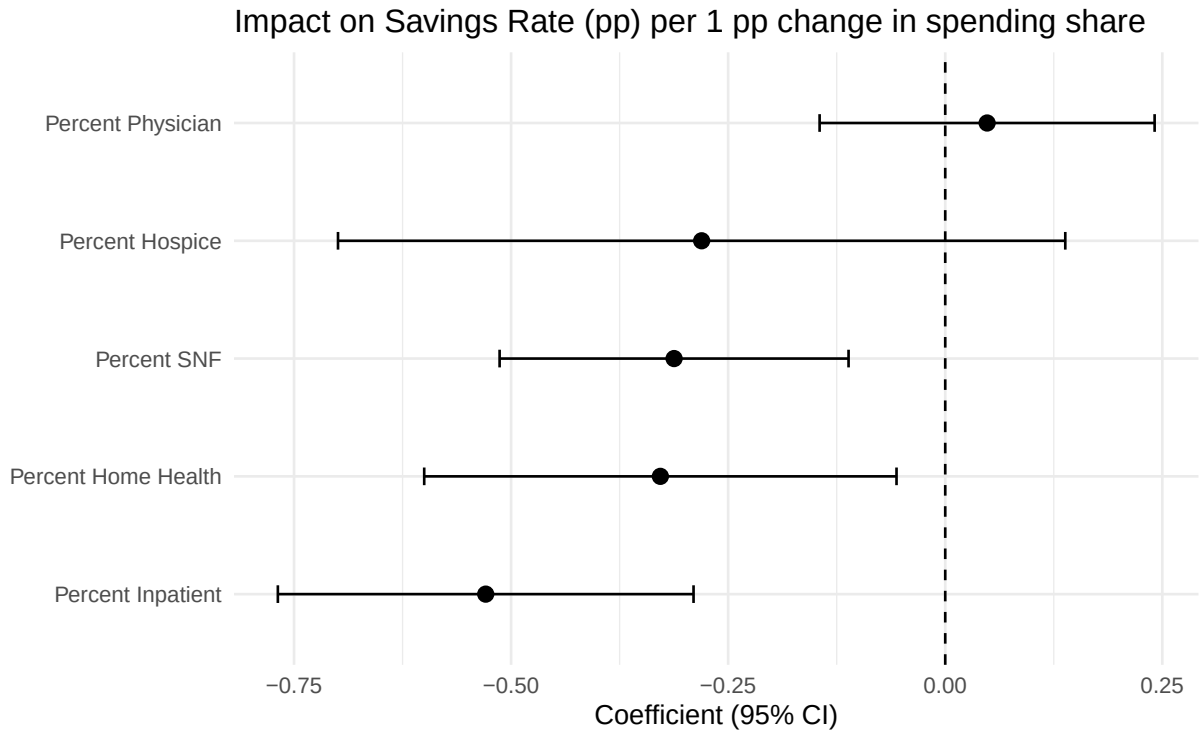
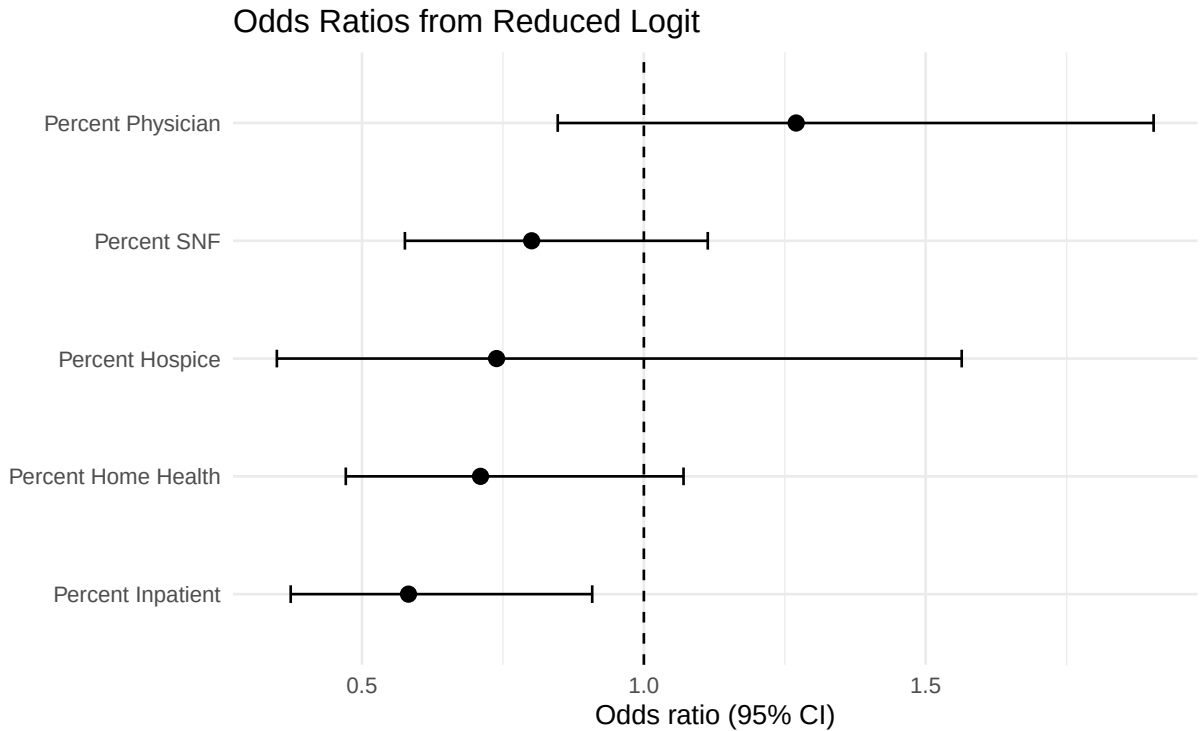


Table 1: Odds of achieving savings per 1 pp change in spending share

Predictor	Odds ratio	95% LCL	95% UCL
Percent Inpatient	0.582	0.374	0.908
Percent Hospice	0.739	0.349	1.564
Percent SNF	0.801	0.576	1.113
Percent Physician	1.270	0.847	1.904
Percent Home Health	0.710	0.471	1.070



Results & Interpretation

The fixed-effects regressions indicate that ACOs achieving higher shared savings allocate less of total spending to inpatient and skilled nursing facility (SNF) care. A 1 pp higher inpatient share is associated with a roughly 0.5 pp lower savings rate, and a 1 pp higher SNF share with a roughly 0.3 pp lower rate, in both the full and reduced models. Home health shows a similar negative association (about 0.3 pp). Physician spending is small, positive and not significant. The fixed-effects logits are weaker: a higher inpatient share significantly reduces the odds of achieving savings, while the SNF, home health and physician coefficients are not significant.

Practically, programs that prevent avoidable inpatient admissions and reduce SNF use are most closely associated with MSSP savings. The direction of these effects tracks the published findings over a later time window, suggesting the pattern is persistent.